

ELEVATE CREATIVE GROUP

End-to-End QuickBooks Online Accounting & Month-End Close

Portfolio Case Study

Engagement Type: Simulated Accounting & Bookkeeping Engagement

Business Type: Small Creative-Services Company

Accounting Platform: QuickBooks Online

Accounting Basis: Accrual

Engagement Status: Completed

1. Executive Summary

Elevate Creative Group is a simulated creative-services business created to demonstrate the practical application of accounting and bookkeeping principles within QuickBooks Online.

The objective of the engagement was to build and manage a complete accounting environment for a small business, progressing from initial company setup and master-data configuration through transaction processing, reconciliations, month-end close, and financial reporting.

Rather than focusing solely on transaction entry, the engagement was structured around the accounting processes and controls required to maintain reliable books. This included establishing an appropriate Chart of Accounts, managing accounts receivable and accounts payable, distinguishing direct project costs from operating expenses, reconciling banking activity, completing period-end procedures, and producing final financial statements.

The result was a completed end-to-end bookkeeping cycle in QuickBooks Online, supported by reconciled accounts and finalized month-end financial reports.

2. The Business Challenge

Small creative-services businesses typically generate revenue from multiple service lines while incurring a mixture of project-specific costs, subcontractor costs, software expenses, marketing expenditure, payroll and general operating costs.

Without an appropriately structured accounting system, several problems can arise:

- Revenue may not be properly classified by service.
- Project costs can become mixed with general operating expenses.
- Customer payments may remain incorrectly applied or unapplied.
- Vendor payments can result in duplicate expense recognition.
- Bank balances may not agree with the accounting records.
- Accounts receivable and payable balances may become unreliable.
- Management may lack accurate financial information at month-end.

The engagement was therefore designed around a realistic question:

How can a small creative-services business maintain accurate, controlled and decision-useful financial records throughout the accounting cycle?

3. Engagement Objectives

The project was designed to accomplish the following:

1. Establish a structured accounting environment in QuickBooks Online.
 2. Develop a Chart of Accounts appropriate for a creative-services business.
 3. Configure customers, vendors, products and services, employees and contractors.
 4. Process the company's revenue and expenditure transactions.
 5. Maintain accurate accounts receivable and accounts payable records.
 6. Correctly distinguish direct project costs from operating expenses.
 7. Reconcile bank and credit-card activity.
 8. Complete the month-end closing process.
 9. Produce and review final financial statements.
 10. Create a professional accounting workflow that could be replicated for a real small-business client.
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4. Accounting Environment

The accounting system was structured using an accrual-basis framework.

Core accounting structure

Assets

- Operating checking account
- Accounts receivable
- Undeposited funds
- Equipment and other fixed assets

Liabilities

- Accounts payable
- Credit card
- Accrued expenses
- Accrued payroll
- Customer deposits
- Payroll tax payable
- Long-term liabilities

Equity

- Owner's capital
- Owner's draws
- Retained earnings
- Opening balance equity

Revenue

- Creative services
- Graphic design
- Branding and identity
- Video production
- Photography

- Social media management
- Marketing and advertising services
- Consulting
- Reimbursed client expenses

Direct Costs

- Freelance designers
- Freelance video editors
- Freelance photographers
- Production equipment rental
- Studio rental
- Production materials
- Client advertising costs
- Client-specific software

Operating Expenses

- Payroll
- Professional fees
- Technology and software
- Marketing and advertising
- Office and administrative expenses
- Insurance
- Bank fees
- Travel
- Training and education

This structure was designed to provide meaningful separation between **revenue, cost of services and operating expenses**, allowing profitability to be evaluated more effectively.

5. Work Performed

5.1 Company Setup

The QuickBooks Online environment was established with an accounting structure appropriate for the business.

This included:

- Company configuration
- Accounting policies
- Chart of Accounts
- Revenue categories
- Direct-cost categories
- Operating-expense categories
- Balance-sheet accounts
- Banking and credit-card accounts

The objective was to establish the accounting foundation before processing transactions.

5.2 Master Data Configuration

The company's accounting master data was configured to support consistent transaction processing. This included:

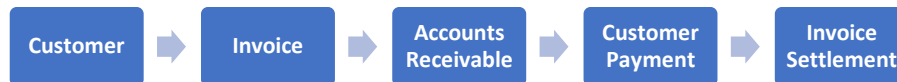
- Customers
- Vendors
- Products and services
- Employees
- Independent contractors
- Service categories
- Account mappings

Products and services were linked to the appropriate income and expense accounts so that transactions could flow into the correct financial-statement categories.

5.3 Revenue & Accounts Receivable

The sales cycle was processed from customer invoicing through payment collection.

The workflow included;



Customer payments were applied against their corresponding invoices rather than being treated as new revenue.

This ensured that:

- Revenue was recognized through the invoice.
 - Accounts receivable reflected actual outstanding balances.
 - Customer payments reduced the appropriate receivable.
 - Customer account balances remained accurate.
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5.4 Purchasing & Accounts Payable

The procure-to-pay cycle was also completed.

The workflow included:



Vendor bills were recorded against the appropriate accounts, and subsequent payments were matched to the underlying bills.

This prevented the same expenditure from being recognized twice and maintained the integrity of the accounts payable ledger.

5.5 Operating Expense Processing

Operating expenses were processed through the appropriate banking or credit-card accounts.

Transactions were classified according to their economic purpose, including areas such as:

- Technology and software
- Professional services
- Marketing
- Office expenses
- Travel
- Insurance
- Bank fees
- Training and education

The focus was on **correct account classification rather than simply recording cash outflows**.

6. Reconciliation & Accounting Controls

Reconciliation formed an important part of the engagement.

Bank and credit-card activity was reviewed against the accounting records to confirm that recorded transactions agreed with the underlying account activity.

The process included:

- Reviewing imported banking transactions
- Matching transactions to existing bills where applicable
- Categorizing direct operating expenses
- Identifying discrepancies
- Confirming transaction completeness
- Reconciling account balances

Accounts receivable and accounts payable were also reviewed to confirm that customer and vendor balances were properly supported.

Key controls demonstrated

Invoice-to-payment matching

Customer receipts were connected to the invoices they settled.

Bill-to-payment matching

Vendor payments were connected to existing bills rather than being recorded as additional expenses.

Bank reconciliation

Bank activity was reconciled to the accounting records.

Expense classification

Operating expenses were assigned to appropriate accounts.

Subledger review

A/R and A/P balances were reviewed through supporting aging reports.

7. Month-End Close

After transaction processing and reconciliation were completed, the accounting records were taken through a month-end close process.

The close included:

1. Review of transaction completeness
2. Review of reconciled banking activity
3. Review of accounts receivable
4. Review of accounts payable
5. Review and recording of applicable period-end adjustments
6. Review of the trial balance
7. Final financial-statement review
8. Completion of the accounting period

The purpose of the close was to ensure that the financial statements represented the completed accounting period before the reports were finalized.

8. Financial Reporting

Following the close, final financial reports were generated from QuickBooks Online.

The reporting package included:

- Profit & Loss Statement
- Balance Sheet
- Cash Flow Statement
- Accounts Receivable Aging
- Accounts Payable Aging
- Trial Balance

These reports provide different perspectives on the company's financial position and performance.

The Profit & Loss provides insight into revenue, direct costs, operating expenses and profitability.

The Balance Sheet provides visibility into assets, liabilities and equity.

The A/R and A/P aging reports provide supporting information about outstanding customer and vendor balances.

9. Results

The engagement successfully completed the full accounting workflow.

Area	Result
Company setup	Completed
Chart of Accounts	Completed
Customer setup	Completed
Vendor setup	Completed
Products & services	Completed
Employee & contractor setup	Completed

Area	Result
Sales & invoicing	Completed
Customer payments	Completed
Vendor bills	Completed
Vendor payments	Completed
Operating expenses	Completed
Bank reconciliation	Completed
A/R review	Completed
A/P review	Completed
Month-end close	Completed
Financial reporting	Completed

Overall outcome

The project produced a **complete simulated bookkeeping environment that progressed from source transactions to reconciled books and finalized financial statements.**

More importantly, the engagement demonstrated the ability to apply accounting principles within an accounting software environment rather than simply demonstrate software familiarity.

10. Professional Capabilities Demonstrated

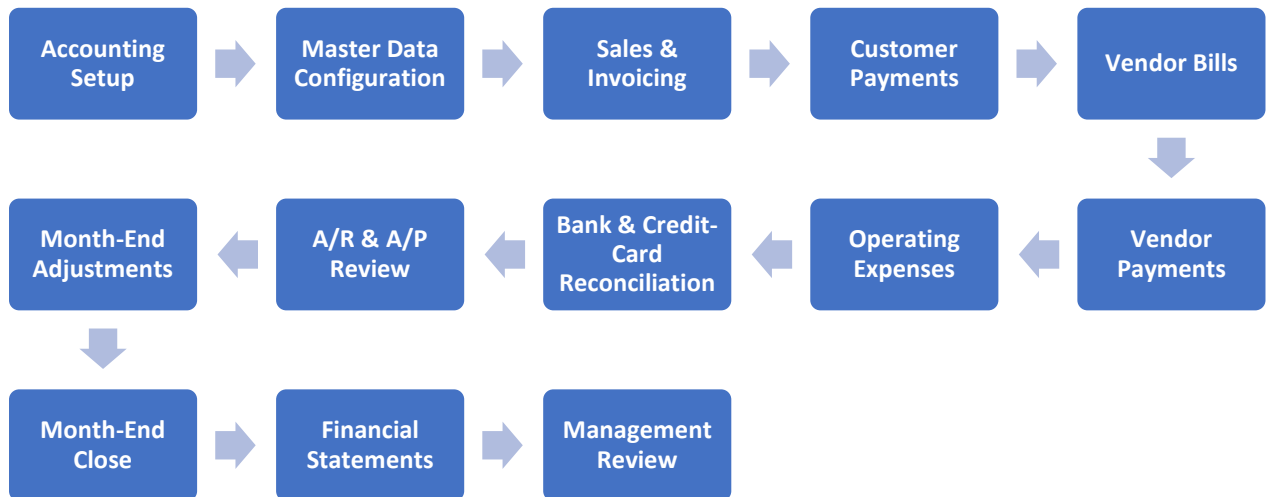
This project demonstrates practical capability in:

- QuickBooks Online bookkeeping
- Accrual-basis accounting
- Chart of Accounts design
- Account mapping
- Revenue recognition workflows
- Accounts receivable management
- Accounts payable management
- Invoice processing
- Bill processing
- Customer payment application
- Vendor payment matching
- Expense classification
- Bank reconciliation
- Credit-card reconciliation
- Month-end close
- Trial-balance review
- Financial-statement preparation

- Financial reporting
 - Accounting controls
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11. Engagement Workflow

The complete engagement can be summarized as:



This workflow represents the core accounting cycle demonstrated by the project.

12. Business Value

The value of this type of bookkeeping workflow extends beyond maintaining transaction records.

A properly maintained accounting system gives a business owner a reliable basis for answering questions such as:

- How much revenue did the business generate?
- Which costs are directly associated with delivering client work?
- How much is being spent on overhead?
- How profitable is the business?
- Which customers still owe money?
- Which supplier obligations remain outstanding?
- How much cash is available?
- What does the company's financial position look like at month-end?

The project therefore demonstrates bookkeeping as a **financial control and reporting function**, rather than simply data entry.

13. Conclusion

The Elevate Creative Group engagement demonstrates the ability to manage a small-business accounting environment through the complete accounting cycle.

Beginning with the design of the accounting structure and master data, the engagement progressed through revenue, purchasing, payments, expense processing, reconciliation and period-end procedures before culminating in finalized financial statements.

The completed project provides a practical demonstration of how **QuickBooks Online** can be used to **maintain organized, controlled and decision-useful accounting records for a small business.**

Portfolio Disclosure

Elevate Creative Group is a fictional company created as a simulated professional portfolio engagement. The transactions, balances and financial statements used in the project are simulated.

This case study is presented to demonstrate practical accounting knowledge, bookkeeping workflow management, accounting controls, QuickBooks Online proficiency, reconciliation procedures and month-end close capability. It is **not represented as work performed for a real paying client.**